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Office of the Secretary
Federal Maritime Commission

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Petition No. P1-25

**PETITION OF CHINESE-POLISH JOINT STOCK SHIPPING COMPANY,
FEDERAL MARITIME COMMISSION ORGANIZATION NUMBER 020107, FOR
AN EXEMPTION FROM 46 U.S.C. § 40703**

Pursuant to 46 U.S.C. § 40103(a) and 46 C.F.R. § 502.94, Chinese Polish Joint Stock Shipping Company ("Chipolbrok"), Federal Maritime Commission ("FMC") organization number 020107, petition the FMC for an exemption from 46 U.S.C. § 40703 so that they may reduce their tariff rates effective upon publication. The FMC is permitted to administratively exempt companies from the Shipping Act of 1984 requirements, as amended (the "Act") if it finds that the exemption will not result in a substantial reduction in competition or be detrimental to commerce. For the reasons set forth below, we respectfully request that an administrative exemption be granted to Chipolbrok because such an exemption would neither reduce competition nor be detrimental to commerce.

1. FACTUAL BACKGROUND

Chipolbrok offers ocean carrier transportation of project, breakbulk, and bulk cargo along with shipper-owned containers, typically as a part of the project or breakbulk charter or shipment. Chipolbrok operates as an ocean common carrier in numerous trades between ports in the United States and other countries. Most of the shipments transported by Chipolbrok are break bulks and project cargoes (non-containerized) which have no fixed tariff for the freight.

Chipolbrok is a limited liability company and Chinese-Foreign joint venture registered in Shanghai, China, with offices in Shanghai, China, and Gdynia, Poland. The Ministry of Transport of the People's Republic of China and the Ministry of Marine Economy and Inland Navigation of the Republic of Poland, which is now known as the Ministry of Infrastructure, are equal owners of Chipolbrok. The Chinese and Polish shareholders combine to provide service under the Chipolbrok trade name, hold 50% of the total capital of Chipolbrok, both share Chipolbrok's profits equally and share losses in the same proportion. Furthermore, all managerial and director positions, both in the offices in China and in Poland, are dual. Based on the fully equal ownership structure and corporate governance structure of Chipolbrok, neither shareholder has actual control over Chipolbrok.

Nevertheless, on April 14, 2025, the FMC issued a Notice of Determination that Chipolbros that meets the criteria for classification as controlled carriers within the meaning of 46 U.S.C. § 40102(8) and 46 C.F.R. § 565.2(a). *See* Docket No. 25-06.

2. APPLICABLE LEGAL STANDARDS

46 U.S.C. § 40703 regulates the rates charged by controlled carriers. It states that "except for service contracts, a rate, charge, classification, rule or regulation of a controlled carrier may not become effective, without special permission of the Federal Maritime Commission, until the 30th day after publication." As a result, controlled carriers are required to wait thirty (30) days before they can decrease their tariff rates. Non-controlled carriers, however, are permitted to reduce tariff rates effective upon publication of the rates.

Under 46 U.S.C. § 40103(a), the FMC may grant administrative exemptions from the requirements of the Act "if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce."¹

3. GRANTING AN EXEMPTION TO CHIPOLBROS WOULD BE PRO-COMPETITIVE AND BENEFICIAL TO COMMERCE

Chipolbros requests an exemption from the requirement that it provide 30 days notice of a reduction in its tariff rates. Granting Chipolbros an exemption from the notice requirement for its tariff rates would neither reduce competition nor be detrimental to commerce. If Chipolbros had the ability to reduce its tariff rates upon publication, rather than wait 30 days, it would actually increase competition. The exemption would permit Chipolbros to react quickly to market conditions and be more competitive with other non-controlled carriers. In this day and age, rate discussions move very quickly, and the ability to react rapidly is essential to competing for an importer's or exporter's business. If Chipolbros has to wait 30 days for agreed rates to become effective, it would be effectively prevented from competing for a measurable portion of the market. While most cargo moves pursuant to service contracts, as a breakbulk, bulk, and project cargo carrier, Chipolbros's shipments move primarily by either tariff rates or charter-party arrangements. Therefore, it's imperative they be able to publish rates with immediate effect. The 30-day wait time for tariff rates to take effect would be a potential harm to shippers, particularly U.S.

¹ For example, see Docket No. P5-04, *Petition of American President Lines, Ltd. and APL Co. PTE. Ltd. for a Full Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended*, 30 S.R.R. 517 (F.M.C., Sept. 23, 2004); Docket No. P6-04, *Petition of China Shipping Container Lines (Hong Kong) Co., Ltd., for an Exemption from the First Sentence of Section 9(c) of the Shipping Act*, 30 S.R.R. 645 (F.M.C., Nov. 15, 2004); Docket No. P1-10, *Petition of Hainan P.O. Shipping Co., Ltd. for an Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, as Amended*, 31 S.R.R. 1659 (F.M.C., July 26, 2010); Docket No. P1-14, *Petition of United Arab Shipping Company (S.A.G.) for an Exemption from 46 U.S.C. § 40703* (F.M.C., July 17, 2015); Docket No. P3-15, *Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703* (F.M.C., Nov. 9, 2015); and Docket No. P2-18, *Petition of Orient Overseas Container Line Limited and OOCL (Europe) Limited for an Exemption from 46 U.S.C. § 40703* (F.M.C., Aug. 29, 2018).

export shippers that rely on Chipolbrok to carry their unique cargo, which is typically not handled by container operators.

Additionally, granting an exemption would benefit commerce. Allowing an additional carrier to compete effectively in the market would give customers more choices among carrier options and would thus promote the flow of commerce. The FMC has repeatedly found that exempting controlled carriers from the 30 day requirement is pro-competitive and beneficial to commerce. In Docket No. P3-15, the FMC reached such a conclusion with regard to the petition of COSCO Container Lines Europe GmbH ("COSCON Europe"), concluding:

Rather than reduce competition, the exemption promotes it by allowing COSCON Europe to compete for cargo by reducing its tariff rates. Oftentimes, cargo is time sensitive, so the ability to reduce tariff rates in a timely fashion is a necessity for a carrier. In addition, the exemption would have the effect of promoting commerce, rather than being detrimental to commerce, as it provide shippers the opportunity to have a larger pool of carriers competing for their business. Docket No. P3-15, *Petition of COSCO Container Lines Europe GmbH for an Exemption from 46 U.S.C. § 40703* at 4 (F.M.C., Nov. 9, 2015).

The same reasoning applies to this petition as it applies to COSCON Europe's petition. Chipolbrok is indistinguishable from COSCON Europe for the purposes of an exemption from the requirements of 46 U.S.C. § 40703. Chipolbrok, under equal ownership structure and equal corporate governance structure, acts under a single company as COSCON Europe, so the same rationale applies to Chipolbrok.

4. CONCLUSION

For the reasons discussed above, Chipolbrok respectfully requests it be granted exemption that would permit it to reduce its tariff rate effective upon publication because such an exemption will neither reduce competition nor be detrimental to commerce.

Dated: April 28, 2025

Respectfully submitted,



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